Make targets realistic, neither so high that they are unachievable nor so low that they hold back growth. Updating your KPIs regularly will stop them from becoming obsolete (you may need to drop some and devise new ones as your business evolves). A good set of KPIs will act as a compass and show you whether you are on course to meet your goals.

SWOT analysis (see box, right) is another useful tool. It identifies internal and external factors that could affect the performance of your business as a whole.

SWOT ANALYSIS

SWOT asks open-ended questions to address the strengths, weaknesses, opportunities, and threats influencing a business. Identifying these factors can help you understand their positive or negative impacts on performance.

- **Strengths** What is your business best at? Does it have any intellectual property (see pp.96–97), special skills, or financial resources?
- **Weaknesses** What is your business not good at? Why do people not like/buy its products? Does it rely on outdated technology? Is it missing strategic alliances (see pp.150–51)?
- **Opportunities** What external changes can your business exploit? Do competitors have weaknesses that could benefit your business?
- **Threats** What might competitors do that could impact your business? How might changing social or shopping trends undermine your business plan and affect profits?